

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

WASHINGTON CHANGES

This endorsement modifies insurance provided under the following:

COMMERCIAL EXCESS LIABILITY COVERAGE PART

- A. Paragraph 4. First Named Insured Duties** of **Section III – Conditions** is replaced by the following:

4. First Named Insured Duties

The first Named Insured is the person or organization first named in the Declarations and is responsible for the payment of all premiums. The first Named Insured will act on behalf of all other Named Insureds for the receipt of any return premium that may become payable.

At our request, the first Named Insured will furnish us, as soon as practicable, with a complete copy of any "controlling underlying insurance" and any subsequently issued endorsements or policies which may in any way affect the insurance provided under this Coverage Part.

- B. Paragraph 5. Cancellation** of **Section III – Conditions** is replaced by the following:

5. Cancellation

- a.** The first Named Insured shown in the Declarations may cancel this policy by notifying us or the insurance producer in one of the following ways:

- (1)** Written notice by mail, fax or email;
- (2)** Surrender of the policy or binder; or
- (3)** Verbal notice.

Upon receipt of such notice, we will cancel this policy or any binder issued as evidence of coverage, effective on the later of the following:

- (1)** The date on which notice is received or the policy or binder is surrendered; or
- (2)** The date of cancellation requested by the first Named Insured.

- b.** We may cancel this policy by mailing or delivering to the first Named Insured and the first Named Insured's agent or broker written notice of cancellation, including the actual reason for the cancellation, to the last mailing address known to us, at least:

- (1)** 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or
- (2)** 45 days before the effective date of cancellation if we cancel for any other reason;

except as provided in Paragraph **c.** below.

- c.** If:

- (1)** You are an individual;
- (2)** A covered auto you own is of the private passenger type; and
- (3)** The policy does not cover garage, automobile sales agency, repair shop, service station or public parking place operations hazards;

we may cancel the Coverage Part by mailing or delivering to the first Named Insured and the first Named Insured's agent or broker written notice of cancellation, including the actual reason for cancellation, to the last mailing address known to us:

- (1)** At least 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or
- (2)** At least 10 days before the effective date of cancellation for any other reason if the policy is in effect less than 30 days; or
- (3)** At least 20 days before the effective date of cancellation for other than nonpayment if the policy is in effect 30 days or more; or

- (4) At least 20 days before the effective date of cancellation if the policy is in effect for 60 days or more or is a renewal or continuation policy, and the reason for cancellation is that your driver's license or that of any driver who customarily uses a covered "auto" has been suspended or revoked during the policy period.
- d. We will also mail or deliver to any mortgageholder, pledgee or other person shown in this policy to have an interest in any loss which may occur under this policy, at their last mailing address known to us, written notice of cancellation, prior to the effective date of cancellation. This notice will be the same as that mailed or delivered to the first Named Insured.
- e. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.
- f. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund will be at least 90% of the pro rata refund unless the following applies:
If:
 - (1) You are an individual;
 - (2) A covered auto you own is of the private passenger type;
 - (3) The policy does not cover garage, automobile sales agency, repair shop, service station or public parking place operations hazards; and
 - (4) The first Named Insured cancels;
 the refund will be not less than 90% of any unearned portion not exceeding \$100, plus 95% of any unearned portion over \$100 but not exceeding \$500, and not less than 97% of any unearned portion in excess of \$500.
The cancellation will be effective even if we have not made or offered a refund.
- g. If notice is mailed, proof of mailing will be sufficient proof of notice.

C. Paragraph **6. Changes** of **Section III – Conditions** is replaced by the following:

6. Changes

The Coverage Part contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this Coverage Part with our consent. This Coverage Part's terms can be amended or waived only by endorsement issued by us and made a part of this Coverage Part.

D. Paragraph **9.b. of the Premium Audit Provisions** of **Section III – Conditions** is replaced by the following:

- b. If this policy is auditable, the premium shown in this Coverage Part as advance premium is a deposit premium only. At the close of each audit period, we will compute the earned premium for that period and send notice to the first Named Insured. The rating basis and rate upon which the premium is determined is dependant on the applicable "controlling underlying insurance". The due date for audit premium is the date shown as the due date on the bill. If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.

E. Paragraph **13. When We Do Not Renew** of **Section III – Conditions** is replaced by the following:

13. Nonrenewal

We may elect not to renew this Coverage Part by mailing or delivering written notice of nonrenewal, stating the reasons for nonrenewal, to the first Named Insured and the first Named Insured's agent or broker, at their last mailing addresses known to us. We will also mail to any mortgageholder, pledgee or other person shown in this policy to have an interest in any loss which may occur under this policy, at their last mailing address known to us, written notice of nonrenewal. We will mail or deliver these notices at least 45 days before the:

- a. Expiration of the Coverage Part; or

- b.** Anniversary date of this Coverage Part if this Coverage Part has been written for a term of more than one year.

Otherwise, we will renew this Coverage Part unless:

- a.** The first Named Insured fails to pay the renewal premium after we have expressed our willingness to renew, including a statement of the renewal premium, to the first Named Insured and the first Named Insured's insurance agent or broker, at least 20 days before the expiration date;

- b.** Other coverage acceptable to the insured has been procured prior to the expiration date of the Coverage Part; or
- c.** The Coverage Part clearly states that it is not renewable and is for a specific line, subclassification or type of coverage that is not offered on a renewable basis.